2. Conservative *investing* is understanding of what a conservative investment consists and then, in regard to specific investments, following a procedural course of action needed properly to determine whether specific investment vehicles are, in fact, conservative investments.

Consequently, to be a conservative investor, not one but two things are required either of the investor or of those whose recommendations he is following. The qualities desired in a conservative investment must be understood. Then a course of inquiry must be made to see if a particular investment so qualifies. Without both conditions being present the buyer of common stocks may be fortunate or unfortunate, conventional in his approach or unconventional, but he is not being conservative.

It seems to me of overriding importance that confusion on matters such as these be swept aside for all time to come. Not only stockholders themselves but also the American economy as a whole cannot afford ever again to have those who *make a sincere effort to understand the rules* suffer the type of bloodbath recently experienced by this generation of investors—a bloodletting exceeded only by that which another generation experienced in the Great Depression some forty years earlier.America today has unparalleled opportunities for improving the way of life for all its people. It certainly has the technical knowledge and the know-how to do so. However, to do these things in the traditional American way will require some genuine re-education as to the basic fundamentals for a great many investors as well as for many of those in the investment industry itself. Only if many more investors come to feel financially secure because they truly are secure will there be a reopen-ing of the markets for new stock issues that will enable companies legit-imately requiring additional equity funds to be in a position to secure them on a basis conducive to going ahead with new projects. If this does not happen, all that is left is to try to go ahead with what needs to be done in the way that, both here and abroad, has always proven so costly, wasteful, and inefficient—by government financing, with management under the dead hand of bureaucratic officialdom.

For these reasons I believe that the investors' problems of today should be met head on and forthrightly. In an attempt to deal with these problems in this book, I have leaned heavily on the counsel of my son, Ken, who